

STRATEGIES FOR FINANCIAL INCLUSION THROUGH MUTUAL FUNDS IN INDIA

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Abstract

The purpose of this paper is to stress on the role of strategies for financial inclusion through Mutual funds in India. This research work is done by describing different thoughts showing that attempts should be made by mutual fund companies through strategic alliance with different companies to increase the reach of Mutual funds. A considerable amount of literature is surveyed in the process. Mutual Fund activity can play a large part in financial development in all its dimensions, these barriers can surely be addressed in a collaborative way between the three stakeholders – the investors, the fund managers and the regulators. Initiatives are already being taken up by SEBI and different companies by increased number of awareness campaign.

Keywords: Financial inclusion, mutual funds, fund manager.

Type of Paper: Research Paper

Introduction: Promotion of financial inclusion has been an important social and financial need across countries. The importance of financial inclusion was felt considering the requirement of managing and providing banking and financial services at an affordable cost to the people who do not have access and awareness about financial services and to the low income groups or rural communities. Mutual funds are institutions that collect money from several sources - individuals or institutions by issuing 'units', invest them on their behalf with predetermined investment objectives and manage the same all for a fee. They invest the money across a wide range of financial instruments, mainly falling into two broad categories – equity and debt. Individual people and institutions no doubt, can and do invest in equity and debt instruments by themselves through capital market but this requires time, knowledge and skill on both of which there are some problems. It is used to discuss various types of collective investment vehicles like a regular income plan, open-ended investment with dividend or growth option, index funds, tax saving schemes etc. SEBI ensures regulation of all market related and investor related activities of the bank or Financial Institution owned funds, any issues concerning the ownership of the Asset Management Companies by banks fall under the regulatory ambit of the RBI. The primary objective of all mutual funds is to provide a fair return to investors by minimizing the risk associated with the capital market investment. Naturally the degree of risk associated with the expected returns differs. The Indian mutual fund industry started with the formation of the Unit Trust of India in 1963 under the Unit Trust of India Act 1963. As on March 31, 2013, India's mutual fund industry with 44 players had an average asset under management of 8.16 lakh crore. For private banks who deal in wealth management, mutual funds are one of the core investment products they offer. Public sector banks also engage in the selling of mutual funds. Mutual funds in India have limited offices, primarily located in major cities. This is creating problems for the mutual fund industry as clients are closing their portfolios for lack of service and unavailability of vital information about products. Independent financial advisors were playing a very important role in the dissemination of knowledge about the markets and ensuring that mutual funds reached the rural markets and the common man. A Study named “Indian Mutual Fund Industry – Accessing the Untapped Potential” pointed out about a favorable economic climate, increasing participation of retail customers, especially in tier II and tier III cities and rural areas, along with a gradual shift in investors’ preference towards mutual funds will drive the projected growth. Another study by Evalueserve and ASSOCHAM studied that rural India could be an

attractive market though effective penetration remains a key challenge. Even though advancement in growth of rural India has been overshadowed by the progress made in urban regions but rural area has continue to play an important role in Indian economy and thus emerged as a key target market for various industries but a difficult one to penetrate.

Objective: The present research paper attempts to analyze the extent to which investors are satisfied with the benefits offered by mutual fund companies to attract investment in mutual fund and would also try to identify factors which could be essential for securing investor's interest especially the rural communities which are still unaware of the fact that mutual fund is a good investment option for the future.

Financial Inclusion in India: Financial inclusion ensures access to appropriate financial products and services needed by people which belongs to low income sections and rural communities at an affordable cost in a fair and transparent manner by institutional players. It has become one of the most critical aspects in the context of inclusive growth and development of a country like India. Financial regulators like SEBI and RBI, government and banking sector has come forward to take initiatives for financial inclusion. The banking sector has an important role to play in the promotion of financial inclusion. An inclusive financial system means a system that recognizes both the market potential and the development opportunities. In India, Financial Inclusion first featured in 2005, when it was introduced, that too, from a pilot project in Union Territory of Pondicherry by Mr. K C Chakraborty, the Chairman of Indian Bank. Mangalam Village became the first village in India where all households were provided banking facilities.

CONTRIBUTION OF TOP CITIES TO ACCUMULATION OF MF ASSETS

Location	AUM Percentage (%) For Quarter Ended		
	Mar '13	Dec '12	Sep'11
Mumbai	43.08	42.96	48.65
Delhi	15.37	15.3	11.48
Bangalore	5.67	5.74	5.12
Chennai	4.98	5.46	4.92
Kolkata	4.94	4.8	4.58
Top 5 Cities	74.04	74.26	74.75
Top 15 Cities	86.87	87.71	87.71
Next 20 Cities Beyond Top 15	5.56	5.33	5.95

Source: Amfi

Despite the incentives to widen their geographical spread beyond the top 15 cities, the top metros continue to contribute the most to the assets garnered by the mutual fund industry. Mumbai remains the largest contributor to MF assets, garnering a 43% share of the overall assets; latest data put up on industry body AMFI's website show. Mumbai is followed by Delhi at 15%, Bangalore (5.7%), Chennai (4.98%) and Kolkata (4.94%). However, the share of top 5 cities to the industry's assets has dipped marginally to 74.04% from 74.26% in the previous quarter. Also, the share of top 15 cities to the overall AUM has dipped to 86.87% from 87.71% in the same period. The share of 20 cities beyond the top 15 cities, on the other hand, has risen marginally from 5.33% to 5.56%. Interestingly, the share of Mumbai has dipped significantly from 48.65% in September 2011, the earliest quarter for which data are available, to 43% as on March 2013. The share of top 5 as well as top 15 cities have dipped marginally during this period. However, the share of 20 cities beyond the top 15 cities has also fallen from 5.95% to 5.56%.

Strategy for Financial Inclusion in India: Mutual fund companies are expected to play a positive role in the process of financial inclusion throughout India. The commercial banks nowadays are into selling of various products such as insurance, mutual funds, stocks and derivative products. The financial institutions have a crucial role to play as they have to extend their financial services beyond core banking activities and extend it to selling and providing awareness campaign about financial products like mutual funds, insurance, stocks and derivative products. The delivery of banking services or financial services would now actually mean the delivery of all kinds of services to the poor and lower income people in association with the other entities. In order to secure the patronage of Indian investor mutual fund especially from the rural and semi urban areas, companies are expected to ensure full disclosure and regular updates of the relevant information along with the assurance of safety and monetary benefits. According to a KPMG report the contribution of India's top 20 cities is over 90% of the industry's total assets under management (AUM). There is a scope for extending the reach of mutual fund industry in India through investor education, awareness building program and use of IT to untouched area or segments. Fund houses need to conduct more and more investor awareness program every month. Reliance Mutual Funds have already initiated steps in this direction as

they already conduct 70-100 awareness programs every month. Mutual funds in India also have an important role to play for ageing group of people which are increasing as people are living longer after retirement. There is a need for the mutual companies not to hide the warning if they are providing any information regarding risk in the investment. Securities and Exchange Board of India (SEBI) and Association of Mutual Funds in India (AMFI) are initiating different steps in order to promote and attract the small segments investors through incentives for developing Mutual fund as an easy investment option. It is expected that there is a good future ahead for the mutual fund industry in India attracting a major share of household saving from urban as well as semi urban and rural areas. India is a country where the farmers in the majority of areas are dependent on the monsoon for agricultural growth and thus their earning depends on monsoon season. Hence the farmers could be a potential target group of customers for mutual fund companies. A mutual fund could prove as a good investment option if there is a natural disaster, i.e. failure of monsoon season. Mutual fund companies in association with SEBI should try to focus on creating a scheme or financial product for farmers, which could protect them against financial stress due to monsoon season failure. Systematic Investment plan (SIP) could be discussed with rural people where there are daily and weekly SIP by fund houses has attracted many retail small segment customers. Awareness campaign should be organized by the Government and mutual fund companies in association with Panchayat. The mutual fund schemes and the rules and regulations should be discussed in such a manner that could be understood even by a layman. The perception or mindset of the low income people or rural communities should be changed so that rural India could become rich.

The increasing awareness amongst investors about mutual fund products and the change in the commission structure for mutual fund distributors is leading to a discernible shift in the product mix being sold to customers today. There has been a significant increase in the inflows in Systematic Investment Plans (SIP), and the introduction of daily and weekly SIP by fund houses has helped attract smaller-ticket size customers, now many financial advisors have started advising retail investors of investing in Fixed Maturity Plans as compared to bank fixed deposits. Regulatory guidelines like the Know Your Customer (KYC) norms have been made mandatory from January 2011. As per the notification by the Ministry of Finance in December 2010 the Aadhaar number being issued by the Unique Identification Authority of India (UIDAI) will be an

officially valid document to satisfy KYC norms and is expected to promote the cause of financial inclusion in a significant manner. UIDAI is expected to complete 600 million enrollments by 2014 and thus the usage of the Aadhaar number by the Mutual Fund industry would help it to increase its reach.

India Post should look for using its low cost service along with other strategic partners like Mutual fund and Insurance companies to spread reach into rural communities and low income households through different awareness campaign. Since many banks are offering Insurance and mutual fund products, financial inclusion will give opportunities to cross sell these products and earn fee based income. Mutual funds should make postal agents their independent financial advisors which will ensure that the products reach the grass roots. The funds can be provided targets regarding the number of postal agents who must become independent financial advisors.

The government should work out some incentive schemes for those mutual funds which achieve the targets for a specified amount of SIPs from villages and towns beyond the top 15 cities. This will ensure that more business comes from small towns and that financial inclusion reaches the desired target market. SEBI has announced a product labelling mechanism with color coding for mutual funds, in an effort to check mis-selling and help investors understand the risk associated with schemes. The new guidelines will come into effect from July 1, 2013 for all new and existing schemes. The labelling will be based on two factors - nature and investment objective of a mutual fund scheme. Each scheme will have a specific color depending on the risk associated with the scheme. Blue - low risk, Yellow - medium risk and Brown - high risk. With this kind of labelling an investor can in a single glance understand where the scheme is going to invest, risk profile and strategy of the scheme. The current scenario in the industry demands innovation and reinvention. We need more initiatives from AMCs in the areas of cost competence, product design and positioning, alternative distribution models, revenue diversification and capacity creation. Apart from this, AMCs will have to be agile to adapt to the evolving regulatory framework. SEBI has shown that it will keep AMCs and distributors on their toes.

Two key drivers for mutual fund industry's growth will be financial inclusion and financial advisory. Deeper penetration in tier 1 and tier 2 cities and focusing on small and

medium income investors would increase the investor base. Mutual fund advisors must do in-depth research of the market to explain the differentiator(s) which make the product being advised as better than the others in the fray. Remember, investors want facts, not fiction. Advisors should monitor clients' portfolio performance, help change asset allocation strategies when appropriate, and stay alert for major changes in the markets. By going beyond just product selling, Advisors will be able to enhance customer loyalty and create real financial value for customers.

The regulator through its recent proposals and announcements has given a much needed boost to the mutual fund sector, but the industry is still waiting for an enduring initiative that will put this sector amongst the most favored instruments of investment.

Constraints regarding Financial Inclusion through Mutual Funds: In India, a large number of national and regional initiatives have taken place to promote financial inclusion. However, despite the significant contributions made over the years to improving access to financial services for the poor and for micro enterprises and concerted attempts by all stakeholders, financial inclusion still remains a challenge, particularly in the low income states of India. Thus the reach of financial products to villages and small towns has to be made convenient. There are some reasons which act as a constraint for financial inclusion through mutual funds which are discussed as follows:

- ❖ The expansion of the Mutual fund industry in the rural areas in India is hindered by the fact that it would require a lot of investment in infrastructure and thus would require huge resources.
- ❖ The distributors which are a link between company and clients have not been motivated enough through incentives and business opportunities for concentrating on rural areas.

Conclusions: Financial Inclusion includes delivery of not only core banking, but also other financial products and services like pension, insurance, mutual funds etc. delivered at affordable and though market driven costs to the lower income segments or rural communities. The growth of microfinance over the last decade is proof of the fact that financial services can be delivered to the poor and underserved but it should be initiated with a positive mindset. Mutual Funds pool the savings of retail investors, the financial inclusion concept may be adopted experimentally. However, there are plenty of constraints for the fund houses to implement this concept in an effective manner. The article concludes that if there is broad agreement that appropriately

regulated Mutual Fund activity can play a large part in financial development in all its dimensions, these barriers can surely be addressed in a collaborative way between the three stakeholders – the investors, the fund managers and the regulators. To meet the objective of inclusive growth, financial inclusion is necessary for India to take a concrete step towards a developed economy.

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